



Gold Finance
Product Program
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A. INTRODUCTION:

a) Product detail / Summary

Secured financing to facilitate domestic, business / commercial and Agriculture related needs.

It is common for households in Pakistan to have a portion of their total savings in form of gold ornaments. Gold is considered among the most stable commodities and hence as a secure domestic medium to long term investment, in addition to being readily acceptable in exchange for cash. Due to these reasons, selling off of gold ornaments to meet financial needs is often considered the last resort. There is also a significant degree of cultural and societal pressure on families to avoid selling gold; Needless to mention the emotional attachment to ancestral gold jewelry running in families through generations. This makes the concept of diluting gold investments a taboo for a large part of Pakistani society.

The above social trend creates a significant need for a financing alternative that would ensure retention of consolidation of liquid wealth in gold and at the same time providing liquidity to customers, while on the other hand it creates an opportunity for customers to use the liquidity/equity stuck in the Gold/Gold Jewelry for meeting their personal or business cash flow requirements under finance arrangements from Banks.

b) Business Objective & Product Strategy

Gold Finance:

JS Bank GoldFinance has been designed to capitalize on the above opportunity by providing financing against gold/ gold ornaments to individuals and businesses and develop a secure assets portfolio promising healthy returns. It shall also add to the product menu of the Bank and provide branches with opportunities to further expand their customer base to cross-sell other Gold Finance products suitable to customer needs.

MyGold:

On the other hand our “MyGold” product is a savings product that enables customer’s convert their hard earned savings in a productive asset.

Objective to contribute to Bank’s Corporate Social Responsibility (CSR) initiatives: Through this product offering we will be covering the socio-economic challenges of middle-income Pakistani whose savings value deteriorates over year under inflationary pressures and other economic aspects thus having a negative savings element to cash savings. This product will help preserve the value of all such savings by having an offering to convert cash into asset.

The objective to offer above finances is to contribute towards Bank’s profitability through.

- Acquiring “New” customers from targeted demographics to improve portfolio sizes
- Improving “Products Per Customer” (PPC) ratio through cross selling to existing asset customers as well as deposit account holders
- Having first mover advantage of gold-based asset formation in financial industry.
- Gold Bullion/Gold Biscuits backed secured lending
- Strategic business partnerships
- Focus on untapped segments

c) Strategic Alliances & Bulk Acquisitions

Bank will enter in strategic alliances/partnerships with service providers, Renowned Gold Smiths, FinTech companies, etc. for expanding the outreach for Bulk acquisitions.

In order to expedite the process of doing bulk acquisitions with regards to Gold Finance, tailor-made product offering with customer selection criteria for strategic alliances including employee banking will be done.

d) Corporate Deals & Bundle Packages:

Business team in consultation with Product teams will engage and structure Corporate and/or bundle packages either with Employee banking Relationships or other Bank relationships for overall business expansion

e) Portfolio at a Glance

(Rs in Mln's)

OverAll				
Category	Cases	%	Vol	%
RF	4,909	38%	4.174	47%
TF	8,001	62%	4.772	53%
Total	12,910		8.946	

Term Finance				
Category	Cases	%	Vol	%
TF Agri	2	0%	0.001	0%
TF A	4,612	58%	2.518	53%
TF B	3,387	42%	2.253	47%
Total	8,001		4.772	

Revolving Finance utilisation			
	Limit	O/s	%
RF	5.241	4.174	80%

Channel Wise				
Channel	Cases	%	Vol	%
Agriculture	45	0%	0.054	1%
Consumer	9,156	71%	5.869	66%
SME	3,709	29%	3.023	34%
Total	12,910		8.946	

Region Wise				
Channel	Cases	%	Vol	%
South	3,028	23%	2.772	31%
Central	6,709	52%	4.388	49%
North	3,173	25%	1.785	20%
Total	12,910		8.946	

NPL Status*(Rs in Mln;s)*

Year	90+	Litigation	Deceased	Dispute	Total
2022	213	50	20	40	323
2023	396	52	14	18	479

f) Industry Overview

Selected banks are financing against Gold Finance in Banking industry. In the commercial banking, one public sector bank i.e. National Bank and JS Bank is the sole lead private bank. Taking lead from JS Bank, few banks have started lending against Gold like Bank Alfalah in 2023.

Biggest players in this product are Micro Finance Banks who are aggressively pursuing this having huge portfolios depicting the social demand and affordability of this type of lending.

g) Product Feasibility

Gold Finance is primarily more famous in Aria / Far East regions where Gold and Gold Ornaments have more intrinsic and Socio-Cultural value. Being a highly liquid collateral, the comfort of early adjustment in case of overdues/defaults gives bankers more comfort and thus comparatively lower mark up rates compared to other secured or unsecured personal finances.

Comparatively high yield and high demand, this financing facilitation brings higher revenues if overdues & deceased cases are timely managed and adjusted/closed. We adopted tiered mark-up rates based on demand and lower ticket sizes requiring equal operational and storage engagements. Thus, lower tickets have a higher margin compared to higher tickets.

JS Bank gold finance portfolio is almost an equal mix of term and revolving finance at the moment in view of requirement both domestic and commercial nature thus remains a profitable & a prudently managed risk portfolio.

h) Competitive Analysis.

NBP has been facilitating through this option for a while but among commercial banks JS bank is the sole institution leveraging this facilitation for its customers; lately few other banks have ventured into this area but in partnership with Fin Techs and facilitating lower tickets.

Primarily, Micro Finance Banks are the key players with portfolio exceeding Rs. 100 Bln and few Fin Techs (NBFCs) are also active players targeting different social strata and offering different ticket sizes.

i) Product Suite**1. Gold Finance****A. Term Finance****I. TF – A**

- a. Consumer
- b. SE
- c. Agri

- II. TF – B
 - a. Consumer
 - b. SE
 - c. Agri

- III. TF – Plus
 - a. Consumer
 - b. SE
 - c. Agri

- B. Revolving Finance
 - a. Consumer
 - b. SE
 - c. Agri

- C. GTF (Gold Transfer Facility)
 - a. Consumer
 - b. SE
 - c. Agri

2. MyGold

Term Finance (TF – A)

- a. Consumer

3. JS HER

All of the above types of financing under Consumer SME and Agri will have a separate variant catering specifically to Women under BOE aspect, Refer below detail.

a. Gold Finance

Term Finance A (TF – A)

- Disbursement shall be affected in form of a single draw down into the customer's financing account
- Repayments will be made in form of equal monthly installments (EMI) including both principal and interest portions.

Term Finance B (TF – B)

- Disbursement shall be affected in form of a single draw down into the customer's financing account.
- Markup payment will be on quarterly basis whereas principal amount will be paid on the respective maturity date.

TF Plus

- Offered to existing JS Gold Finance term loan A customers (with minimum 6 months)
- Under Term Loan plus, revaluation of the Gold will be necessary, Furthermore, value of the gold will be assessed based on the current market price.

- Term Loan Plus facility will consist of previous term loan being adjusted with the new loan schedule under term loan A (The new facility will be utilized for adjustment of existing outstanding liability of the customer under previously approved Term Loan).
- Previous adjusted loan will have the account closed and clearance no-objection certificate will be issued to the client by CAD to settle off the previous loan (all dues to be settled).
- Term Loan Plus will be issued in a new repayment account. Pre-payment penalty on the adjusted loans will not be applicable.
- Term Loan Plus's maximum allowable financing limit shall not exceed 75% of the value of the gold based on the valuation rate prevalent at the time of application and subject to approval of Distribution Head

Revolving Finance (RF)

Financing shall be admissible in the form of a drawing account against a credit limit granted by the Bank that may be freely drawn upon as the borrower requires.

- Draw down can be in multiple transactions within the prescribed limit and the available drawing power (subject to maintenance of the prescribed margin at all times).
- The borrower can reduce the balance, however temporarily whenever he / she is in a position to do so.
- In SME & Agri cases, clean up period requirement would be complied as applicable

Gold Transfer Facility (GTF)

- For customers who are currently availing Gold Financing facility from any bank.
- Approval will be based on the customer qualifying for JS Banks Gold financing facility as per the JS Gold Finance qualifying criteria.
- Customer will need to bring the Gold to JSBL branch + Subject to positive gold evaluation conducted by Goldsmith on JSBL panel.
- Enhancement in addition to transfer of facility may also be available based on cushion available in the collateral.

b. MyGold – Savings product

Gold has an intrinsic value around the globe whereas in Asia it has an emotional aspect attached to it as well where everyone wants to own it and hold on to. This habit makes it best moveable asset for every individual irrespective of class and profile – everyone holds it to the level of his affordability. Gold acts as a vehicle to mitigate losses in times of market stress hence making it a secure Saving tool for medium to long term basis, if one is looking to purchase it in its purest form, a gold coin/Biscuit provides the best alternative.

MyGold is being introduced as a game changer, designed to disrupt the new customer base. It will also act as a catalyst in building finance portfolio. Gold is a risk-free liquid asset which is easily marketable and thus a good collateral for financing.

The product is designed to target and capture customers opting for convert their savings into productive savings for countering inflation and currency devaluation effects. This improves affordability of future personal needs i.e. Education, vacations, marriages, etc. The JS Gold savings product has been designed to be a competitive Saving product by offering easy monthly installments (EMI) at minimum risk to help customers build their Gold asset portfolio as per their financial appetite.

c. Agri Gold Finance

JS Agri Gold Finance product has been tailored to the credit needs of all category of farmers/cultivators engaged in economic activities at micro & macro level.

Categories of Finance

1. RF under Three Years Revolving Finance Scheme for crops, live stock
2. TF for crops, purchase of livestock (animals)

d. JS Her – Gold Finance

As a part of our Banking on Equality (BOE) initiative based on State Bank of Pakistan's broader initiative of financial inclusion and enablement, this variant scope of women centricity will provide extra benefits on top of discounted features to the existing relevant finance variant.

All channels will be advised to explain benefits of facilities under this variant for which separate product category (ies) will be opened. Female customers will be allowed following relaxations based on customer profile (Income segment, Age, City, etc.)

- i. 40 - 60% discount in Processing fees
- ii. 50% discount in early termination charges
- iii. Free balloon payments allowed; upto 40% of the outstanding principle in a year

All features criteria's of mother product/variant will be available under this variant as applicable. Including coborrower. Co-borrowers under this product variant can only be secondary borrowers while female customer has to be primary borrower contributing equally or more to the repayment of finance.

All distribution channels will specifically assign certain %age of annual sales target to this product variant for contributing to Bank's overall women diversity and inclusion initiative.

j) Target Market:

Finance facilitation will expand to multiple income segments of the society for various purposes with different eligibility & risk criteria, these can broadly be listed as follows

1. Consumer (Personal needs)

Potential Finance customers pertaining to Salaried and Non-Salaried segments from all Income and social segments. The segments are broadly characterized below:

a) Salaried

Salaried customers of all types of employers will be entertained

- i. Permanent
 - a. Resident
 - b. Non-Resident
- ii. Contractual
 - a. Resident
 - b. Non-Resident
- iii. Government, Semi Government and Armed Forces
- iv. Employee banking/private banking
- v. JS Group staff

- vi. JS Bank staff
- vii. Cash salary received in cash or deposit in account

b) Self Employed

- i. Businesspersons
- ii. Professionals

c) Others

- i. Retired (Pensioner)
- ii. Rental Income
- iii. Housewives
- iv. Agri Income
- v. Foreign Remittances
- vi. Deposit, Certificates, and Instruments
- vii. Etc.

2. SE (Business Needs)

- i. Owners of small and medium sized businesses
- ii. Professionals engaged in small & medium scale activities
- iii. Housewives / Men engaged in commercial activities (Home chefs, stitching & tailoring, etc.)
- iv. Others

3. Agri

- i. Owners of farmland and agricultural land.
- ii. Agriculturists – Individuals engaged in agricultural activities.
- iii. Others

Related Parties: Related parties of the Bank include directors, major shareholders, employees and family members of these persons. Transactions with related persons shall be at arm's length basis and on normal terms and conditions as applicable for other customers of the Bank in line with regulatory requirement. The Bank shall ensure that the appraisal standards are not compromised in such cases and market rates are used for such persons.

k) Geographical Outreach

The portfolio acquired through this program shall include hub branches as well as non-hub branches in all areas where Gold Finance cases are processed including rural and urban areas in all cities.

MyGold: To start with, this facility will be accessible for customers of Karachi, Lahore & Islamabad.

l) Sales / Solicitation Channels

Gold finance product may be sourced through all or any of following channels:

- 1. Distribution Teams of Retail Banking Group
- 2. Branch Network
- 3. Employee banking
- 4. SME Finance business teams
- 5. Agri Finance business teams
- 6. Digital Channels

7. Tele Sales

m) Value Proposition

JS Bank Gold Finance Financing is a trusted brand name in the market and since inception has remained an active player in the industry. It offers a whole range of both generic & unique features which makes it a competitive product in the market. It progressed over the years with many new initiatives to cope with the emerging market needs and establish a top brand. Following are product features:

1. Co-borrower option for improved eligibility
2. Competitive pricing
3. High Margin / Equity contribution benefits
4. Fixed, Variable and Hybrid rate Options
5. Risk based pricing benefiting good credit histories
6. Early and partial payment options

B. PRODUCT FEATURES

a) Applicable SBP PRs

SBP's prudential Regulations (PRs) for:

- Consumer: Consumer - Personal Finance
- Commercial: SME (SE position)
- Agri: Agri Finance

will apply, all SBP advices (amendments, additions, revisions, guidelines, and Schemes, etc.) issued from time to time will automatically become part of the relevant products' program & departmental SOP documents for adoption.

AML / CFT / CPF regulation will be followed, CDD of the customer shall be performed as per the Bank's AML/CFT/CPF & CDD Policy's.

Any material changes to product paper should be brought up to IRMC members for review and approval. Whereas, any cosmetic changes related to reporting and information management be automatically approved and incorporated in the product program.

b) Finance Amounts

As per relevant SBP's PRs, however, as per internal credit & risk controls, product wise max finance amounts for all variants will be as follows:

Criteria	Product	Amount (Rs)
Minimum	Consumer & SE	50,000
	Agri	100,000
Maximum	Consumer	2.5 Mln
	SE & Agri	25.0 Mln

c) Number of Facilities at a time:

Consumer: Borrower will have at max 2 finances at a time subject to:

1. 2nd loan not to exceed Rs. 1.0 Mln
2. 2nd loan will be allowed after passage of at least 6 months of previous loan.
3. 2nd Loan on existing Gold collateral will require QA feedback.

Product Program – Gold Finance

SE Finance: 1 gold finance per customer
Agri Finance: 2 gold finance per customer

d) Finance Tenors

Type	Product	Min Tenure	Max Tenure
Consumer	TF – A	12 months	Up to 48 months
	TF – B		
	RF	1 year	3 years
SE	TF – A	12 months	Up to 60 months
	TF – B	12 months	Up to 60 months
	RF	1 year	3 years
Agri	RF	1 year	3 years
	TF	3 years	5 years
MyGold	TF – A	1 year	4 years

Every customer can avail finance up to maximum eligible tenor, he may in the interim opt shorter tenure but can avail remainder of the eligible tenor anytime in the future, total duration of finance should in no way exceed max tenure allowed under SBP PRs for Consumer Finance. Relaxation through extension of tenor under regular repayment conditions will not be considered as restructuring.

e) Loan to Value / Margin / Equity

As per SBP's Personal Finance PRs portion pertaining to liquid collaterals. However, as per internal credit & risk controls, segment wise LTVs for all variants may be applied.

Gold Finance

LTV will be based on valuations/ assessment of the Gold conducted by external evaluators on Bank's & PBA approved panel. Valuations will be conducted as follows:

- Finance up to Rs. 2.5 million: at least one valuator
- Finance over Rs. 2.5 million: at least two valutors

MyGold: Minimum 30% Margin
Agri Finance: Minimum 30% Margin

The financing for gold asset is allowed to the extent of net gold contents of the required fineness, as determined by the designated vendor. Thus, the valuation of the gold bars/ biscuits must be based on the weight and fineness of the gold contents must be at least 24 karats in terms of purity as per the valuation by vendor.

Eligible Business Partners under MyGold: Bank will start financing under MyGold in partnership with ALMAS Jewelers and new partners can be added to the union over time based on demand, outreach.

f) Security & Collateral

Financing against already owned gold / gold ornaments of at least 21 Karat or more is allowed to the extent of **net gold contents** of the required fineness, as determined by the designated valuator (goldsmith). Thus, the valuation of the gold/gold ornaments must be based on the weight and fineness of the gold contents only.

Cautions

1. The financing is to be extended directly to the owners of the ornaments and as such financing against third party collateral shall not be allowed. It is therefore required that the borrower signs a delivery letter in favor of the Bank wherein the borrower certifies that the gold ornaments are his/her bonafide property and no other person has claim against it. An undertaking from the borrower that he/she has no objection if the security is offered for auction in case of non-payment in consideration of the financing facility shall also be obtained along with letter of setoff.
2. Bangles and other ornaments may be full of wax covered by a skin of gold. In weighing such ornaments, the weight of the gold may be ascertained by immersing the end of the scale containing the ornaments in water, as wax and water have the same specific gravity. This test is not, however, infallible e.g., base metals may have been embedded in the wax in which event weighing in water would not give the correct weight of the gold contents of the ornaments.

Exclusions

3. Ornaments / bars often contain wax, strings, fastenings, etc., as well as precious and semi-precious stones; the weight of all this extraneous matter must be estimated on a liberal scale.
4. Ornaments made of brass or other base metals with a coating of gold shall not be accepted and caution must be observed that such ornaments are not passed off as solid gold.
5. Gold ornaments containing so large an amount of alloy as to reduce their gold value per 10 grams below the stipulated minimum should not be accepted
6. In terms of the SBP Prudential Regulations for Corporate/Commercial Banking, gold ornaments taken into Bank's pledge with appropriate margin, perfect lien and possession shall be treated as '**readily realizable security**'.

Valuator shall perform the Evaluation Services in a prudent, reasonable and efficient manner and in accordance with Professional international standards. To assess and certify to the Bank in writing accurately the weight of Gold of 99% fitness actually contained in the ornaments excluding weight of all other material like wax, strings, precious stones, pearls, alloy or metal mixed with Gold which may be presented in the ornaments in any shape, form or manner.

MyGold: Specific Gold arranged by Bank is held as collateral under deferred payment plan.

Customers can avail Gold Bars / Gold Biscuits having guaranteed 99.0% purity certified by gold partner in following weightages/denomination subject to availability with the partner(s):

1. 20 Grams
2. 50 Grams
3. 100 Grams
4. One Ounce
5. 1 Tola
6. 5 Tola
7. 10 Tola
8. 50 Tola

g) Co borrower

Customers are allowed to add co-borrower to the financing for the purpose of

1. Clubbing of Income(s)
2. Clubbing of Security/Collateral
3. Both

Blood Relations (except married sisters) and Spouse will be allowed as coborrowers for structuring the finance facility. In NRP cases main applicant will be Non-Resident Pakistani along with a Co-borrower residing in Pakistan

h) Pricing Strategies

Pricing is strictly based on the competition analysis, customer profile, internal cost of funds, sales targets, product profitability and margins. Following pricing rate options may be used for offering pricing to customers:

➤ **Floating / Variable Rate:**

Variable rate will constitute of:

Base Rate (KIBOR) *plus* Bank's Margin (Risk based)

➤ **Fixed Rate:** 1-3 Year Rollover Rate (Fixed for 1-3 Years, Re-priced after end of every 1st or 3rd year, depending on fixed rate tenor).

➤ **Hybrid Rate** (Fixed for First 1-3 Years, moving to Floating rate post completion of 1-3rd year, and re-priced on each facility anniversary on floating rate from year 2-4 depending on fixed rate tenor.)

Floating / Variable rate will be based on KIBOR with options to choose between 6 Months and 1 Year base. This will continue till settlement/adjustment of finance facility.

For the purpose of mid-term fixed rate options, Bank can use facilitation options offered by PRMC and other lenders.

Risk based Pricing - Bank's margin structure will be applied and can be changed by GH – Retail Banking / Head of Products based on feedback/suggestions from Business and Risk.

Rate breaks will be allowed as per applicable delegated authorities defined by CEO.

i) Finance repayment

Term Finances:

This is a short or medium-term finance facility whereby buy back price will be repaid by customer through:

Term Loan A: equal monthly installments (EMI)

Term Loan B: Mark up on quarterly basis and Principle on maturity

The installments may vary with repricing under variable / hybrid pricing options based on change in base rate i.e. KIBOR.

Customer can use any mode of repayment for making available funds in the non-checking account before the due date.

j) Insurances

Gold/ Gold ornaments held against advances at the HUB branches should be insured against all standard risks. The sum insured should be based on the market price of net gold contents. The facility offer letter should state that unless instructed in writing or otherwise, the Bank would obtain insurance for the full

value of the jewelry based on the gold contents as assessed by its valuator at the time when the jewelry had been delivered to the Bank.

k) Approval In Principle

An “Approval In Principal (AIP)” may be conveyed to customers (earlier termed as Conditional Offer Letter for Home Finance only) based on basic documents and information provided by the customer to assess his financing eligibility.

This intimation will be given after basic due diligence e.g. Verisys, e-CIB but before Verifications and FRMU checks to ensure competitive Turn Around Time (TAT) and cost savings on probable decline cases.

A standard conditional letter drafted and vetted by Legal, and CAD will be issued to customers. letter drafted and vetted by Legal, and CAD will be issued to customers.

a) Fees and Charges

As per SOC for all the Product types of Gold finance.

C. ELIGIBILITY CRITERIA:**Basic Eligibility:**

All customers must be Pakistani nationals with valid National Identity Card (SNIC/CNIC/NICOP).

Pakistan Origin Card (POC) holders may also be facilitated, subject to following:

1. Compliance of AML/CFT requirements.
2. Purpose of borrowing must be clear, legitimate, and duly documented.
3. The loan shall be liquidated by the borrower through remittances from abroad in foreign exchange through normal banking channels or by debit to their repatriable PKR and foreign currency accounts which must be fed through foreign remittances.
4. Sale proceeds of property, moveable or immovable, created from such lending shall not be eligible for repatriation, unless otherwise allowed by SBP through general or specific permission.

Segment wise customer Age - Consumer

Segment	Minimum	Maximum *
Consumer – Gold Finance		
Salaried	18 Years	60 / Retirement age **
Self Employed		65 Years
Others		
Co borrower		
Consumer - MyGold		65 Years
Agri Finance		65 Years ***

*Age at the time of application

** Where retirement age confirmation is not available, it will be treated as 60

*** In Agri Finance maximum age should be 65 years at the time of loan maturity,

Segment wise Employment / Activity / Business requirement – MyGold

Total experience required in each segment is as follows, this can be proven by customer through any

document:

Segment	Min period
Salaried - Permanent	3 months
Self Employed Professional (SEP)	1 Year
Self Employed Businessperson (SEB)	2 Years
Others (Continuous verified income stream)	1 Year

Minimum Income - MyGold

Segment wise monthly minimum income requirement is as follows:

Segment	Rupees
Salaried * (Gross Monthly Income)	
Bureau Relationship of 12 Months	40,000
With No/or less than 12 months bureau relationship	80,000
Self Employed (SEP & SEB)	
Minimum Bureau Relationship of 12 Months or above	75,000
NTI	100,000
Others (Rental, Pension, etc)	

PKR 500 variation in income will be accepted under normal criteria

Income Constituents

Income from all sources will be included, max income drawn from any source will determine customer segment for financing aspects applicability.

Income Treatments & documentation Requirement

Segment wise documentary requirement from the customers is as follows:

Customer Segment	Treatments	Documents
All Customers		1. Duly filled in Application form 2. Copy of CNIC/NICOP 3. 2 passport size photographs 4. Copy of Passport from non-residents only. 5. SBP specified formats (<i>separately if not covered in Application form</i>)
Salaried	Source and quantum of income will be determined through any documentary evidences. <u>MyGold</u> Regular allowances and perks will be included in gross income. Only 50% of the average of last 6months	<u>Gold Finance</u> Salary Slip / Salary Certificate / Tax Return / Etc. <u>MyGold</u> 1. 1 Salary slip or Employment letter with salary detail 2. 3 months bank statement (salary credits reflected)

Product Program – Gold Finance

	performance incentive/bonuses to be included in gross income	
Self Employed Professionals	This segment has potential for all 4 sources of income i.e. Salary, professional, business and others.	<u>Gold Finance</u> Any Document <u>MyGold</u> 2 Years Bank Statements If quantum of income from above, do not suffice then Income Estimation(s) is to be conducted through external service providers.
Self Employed Businesspersons	Source and quantum of income will be determined through any documentary evidences.	<u>Gold Finance</u> Any Document <u>MyGold</u> 2 Years Bank Statements If quantum of income from above do not suffice then Income Estimation(s) is to be conducted through external service providers.
Others	Source and quantum of income will be determined through any documentary evidences.	Any document

Income Estimation

Concept of Income Estimation is to cover complete business volume i.e. both cash and bank based transaction of the customer activity to gauge realistic business turnover estimates enabling better view of the size of business and cash flows. Where Income Estimation is done other requirements like Bank Statement, tax returns, etc. will not be required.

Credit Reports

Bank will comply with relevant SBP PRs requirement of arranging Credit Bureau reports, all valid facilities will be reviewed and considered for delinquencies and DBR calculation, as applicable.

Credit Bureau History Checks

In view of finance being secured against tangible liquid security, satisfactory credit history will be acceptable. Under SME PRs Bank can take exposure on defaulters keeping in view their risk management policies and criteria, provided they properly record reasons and justifications in the approval form

Politically Exposed Persons (PEP)

Product is subject to all applicable SBP & other regulator's guidelines/instructions including internal instructions/policies issued by bank from time to time

Gold Finance (All Variants)	CAP Threshold
Per Party Limit	For Consumer PKR 2.5 Mln, For SME PKR 25 Mln
Portfolio Cap	15 billion for the year 2024
Deviation Cap	20% of the total portfolio
Per Branch Exposure Cap	Rs. 300 Mln

D. SUPPORT DEPARTMENTS: BRIEF ROLES & RESPONSIBILITIES

Support departments roles, responsibilities and processes will be as per their respective manuals, brief of these are as follows:

Product

Department's primary role will be to structure, review and update the Product Program on the prescribed review period as well as in interim based on regulatory changes, market dynamics changes or strategical focus change. Product team is to enable business teams through marketing campaigns, sales incentivization and stakeholder's coordination's for efficient activity and turnaround times while keeping in mind the P&L impacts.

Branch - Sales

These represent the front end customer interacting and customer engaging teams, they are responsible to solicit sales by advising features & eligibility aspects of the finance product to the customer in light of policy guidelines, satisfy their queries and onboard them.

Following will be the main functions of this department,

- Initial Pre-screening: Evaluate customer according to Policy Criteria
- Provide tentative Sheets to the customer
- Completion of Application and related documents
- Customer coordination at each Stage
 - Signing of Application
 - Initial and Credit review
 - Execution of Legal Documentation
 - Disbursement
- Coordination with related stake holders for smooth processing of case

Branch Operations

- Ensuring correct evaluation as per SOP Guidelines
- All evaluations to take place in the presence of BOM
- Adherence to the overall SOP and Product Program
- Strict Adherence to procedures for handling Gold Valuation
- Share monthly MIS of existing BOMs to CAD
- All insurance to be managed by Operations

CAD

CAD is distributed into 2 departments:

- a) CAD – Documentation
- b) CAD – Operations

CAD - Documentation

Department's prime role is to evaluate Collateral risk, security perfection, monitoring and legal documentation. After credit approval, CIU sends the file to CAD for processing of charge documents. Documentation team scrutinizes the application for completeness and required documents. If everything is in order, Documentation Officer prepares Facility Offer Letter and Charge documents for customer signatures. It also issues Disbursement Authorization Certificate (DAC) and sends to CAD Operations.

CAD – Operations

Department's prime role is to disburse a finance facility, handle all post disbursements, operations of the facility till maturity/settlement, settlement, and release of collateral, etc. after reviewing DAC except GOLD financing and Consumer Loans. Also circulates overdue reporting product wise / markup claim submission of markup sharing products to SBP/ Loss claim submission to SBP, Refinance loans disbursement and monitoring.

CAD – MIS & Limit Implementation

Unit's prime role is managing all External / Internal Reports (excl. Consumer & Credit Cards) which mainly includes pan Bank eCIB Reporting, NPL report, Overdue Report (PAN Pakistan) and Portfolio Management. The Unit also responsible to input the limit in the system upon receipt of DAC from CAD – Documentation, & proceeds with disbursement of facility.

MyGold: Appointment of Gold Business Partners

Partner shall be approved by the competent authority after evaluation of enlistment criteria and on the basis of overall credibility of the vendor which shall be judged from the detailed assessment report submitted by the Product Team. The appointment of vendor on the Bank's panel shall be done by Credit Administration Department which will result in both the parties formally to proceed with signing a MOU (Memorandum of Understanding).

The onboarding of the Vendor would broadly be based on the following criteria:

1. Company/Legal entity should be taxpayers (GST registered)
2. Should be more than 5 years in the market
3. Proof of purchasing the Gold
4. Should be a part of / certified by any of the following:

- a) Pakistan Gems Jewelry Traders and Exporters Association (PGJTEA)
- b) All Pakistan Commercial Exports Association (APCEA)
- c) Jewelers and Gems Traders Association of Pakistan (JGTAP)
- d) Saraffa Association (mandatory)
5. Vendors Should agree to the buyback model, as per the agreement signed based on the day market price (in case customer get default)
6. Should have an active Bank Account with JS Bank
7. The authorized list of gold vendors would be shared with all relevant departments i.e. Risk, CAD and Branches, as and when updated
8. It shall be ensured that Vendor's due diligence shall be conducted as per the relevant Bank's Policy for Outsourcing Arrangements before taking onboard in the panel.

In order to further safeguard the Bank's interest, the appointment of the Gold Business Partner shall take effect through execution of a formal legal agreement between the Bank and the vendor. The format of the agreement is provided as annexure to this document.

Collection & Recovery (C&R)

Collection Unit: Department's prime responsibility will commence from the time an account becomes delinquent or is routed in the collection's queue, until it is regularized by means of payment or closed with full payment of the outstanding amount and the goal of the Collection department is to obtain payments promptly, while minimizing collection's expense and write-off costs, as well as maintaining the customer's goodwill by a high standard of service.

Recovery aspects are being looked after by respective Branch and relationship manager (GFEs).

Quality Assurance

Quality Assurance is responsible to perform the physical reconciliation of the gold bags and re-evaluation of the gold/gold ornaments held with bank as collateral and have thorough inspection of complete Gold Portfolio to ascertain and cross check Gold Quality and Purity. This unit will also provide feedback on the condition of the gold bags in which the collateral is kept. This will keep a check on the quality of the collateral and performance of the goldsmiths and identify opportunities for enhancement of controls.

E. GENERAL

1. Product will design marketing collateral and run marketing campaigns to support sales/distribution teams achieve their targets. Marketing department will be engaged for all marketing related activities.
2. All aspects of Gold Finance will apply on MyGOLD unless specifically defined.
3. All risk aspects will be viewed as per Bank's strategic view, Internal risk policies & approach and will be approved by GH – Retail & CRO jointly for implementation.
4. All interim amendments will be incorporated in the relevant Product Program under the scheduled review process The Product Program will be implemented through adoption/amendment of respective department's SOP / process manuals.
5. SLA will be structured and supervised by Customer Experience department in consultation with respective department and consultation of Product team for ensuring efficient turnaround time

(TAT) resulting in improved customer experience.

6. Changes & Additions / Deletions to internally managed features and eligibility thresholds will be done with mutual understanding of Product, Business, Consumer Risk and CIU while case to case approvals beyond the applicable thresholds will require respective business head recommendation and 1 level up review at CIU/Risk and approval max up to the level of CRO